

PITCH — KSCP — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order, no entry price; both benches reject both directions, and this deck asks for that rejection to be ratified with the reopen conditions below.

What we believe

Knightscope sells security robots on a subscription. For a decade the robots have cost more to run than customers pay for them. In February 2026 the company bought a human-staffed event-security business (Event Risk, LLC, closed 2026-02-27), and the combined revenue line tripled. That triple is the acquisition, not the robots.

The specifics we are willing to stand behind:

- **The robot business, isolated, still loses money on every dollar of revenue.** The Q2 filing's acquisition note discloses what the acquired unit contributed, so the legacy business can be backed out by subtraction: first-half 2026 legacy revenue **\$5.84M** (vs \$5.67M a year earlier — **+3%**) on **negative \$0.87M** gross profit. Cost of revenue is **114.9%** of revenue — and that is the best half-year the legacy business has ever printed. The acquired human guards earn a **21.7%** gross margin; the robots earn about **-15%**.
- **Like-for-like growth is 12%, not 165%.** The same filing gives pro-forma prior-period combined figures: first-half 2025 combined revenue **\$13.40M** vs first-half 2026 actual **\$15.04M** = **+12.3%**. On that identical perimeter the combined net loss *widened* from **-\$14.54M** to **-\$24.41M** — 68% worse.
- **The company is out of cash and must sell stock.** Cash went \$20.6M (12/31/25) → \$11.4M (3/31/26) → **\$8.16M (6/30/26)**. First-half operating cash burn was **-\$23.10M**, matched by a net loss of **-\$24.41M** (so it is real losses, not a working-capital swing). Financing supplied **+\$17.91M** in the same half. The Q2 10-Q carries live going-concern language: *"substantial doubt about the Company's ability to continue as a going concern for the twelve months from the date of this report."* (Q2 2026 10-Q, filed 2026-08-12)
- **The share count is the moving part, not the price.** Weighted diluted shares went **6,995,145** → **17,925,096** in four quarters — a 2.56x — *after* a roughly 1-for-50 reverse split. There have been ten shelf takedowns since 2023-02-09.
- **Even a fully-funded version isn't worth today's price.** If someone handed the company all the money it needs, you'd own a business annualizing ~\$36M of mostly human-guard revenue. Guarding companies trade around 0.6x sales → about **\$21.6M** enterprise value. Today's enterprise value, counting \$4.39M of debt and ~\$4.7M of deferred acquisition payments, is **\$28-33M**. The best case sits *below* the current price.

Conclusion: **flat**. Not because it's cheap-but-early — because the funded outcome is worth less than the tape, and the funding itself destroys the buyer.

What the market believes

At **\$1.35** the stock is down **82.3%** from its 52-week high and sits **2.3%** above its 52-week low of \$1.32. That is a market that has already priced dilution and did not reward the “revenue triples” headline.

But the market is still paying about **\$32M** of equity value for a business whose fully-funded guarding-comp value is roughly **\$22M**. So the market and we disagree in one specific place: the market is paying roughly **\$10M of option value** for the possibility that the robot line eventually works, or that the “434 clients across 42 states / Autonomous Security Force” story gets bought, funded, or squeezed. We think that option is worth materially less than \$10M, because the entity that owns it is arithmetically compelled to sell shares against it.

The other thing the market appears to believe — reasonably — is that this is a retail-narrative stock. That belief is why the short doesn't work either.

Why we might have edge

1. **The acquisition disclosure lets us split the company; almost nobody does that arithmetic.** The headline press release is titled “Preliminary Q2 Revenue Triples to Approximately \$9M” with no attribution to the acquisition anywhere in it. The acquisition is disclosed in the 8-K/A and the 10-Q note. A reader of the press release and a reader of the filing come away with opposite pictures of the same quarter. That gap between what the company says loudly and what it files quietly is a repeatable pattern, and it is the reason we can price this business and a headline-reader can't.
2. **Pro-forma prior-period numbers are published and almost never used.** The filing hands us the like-for-like comparison (+12.3% revenue, 68% worse loss). It takes one subtraction and no modeling.
3. **The company is an orphan.** No usable analyst coverage was obtainable. There is no consensus number for the tape to converge to, which means fundamental work has less competition here than usual. (We do not treat this as a reason to buy — it cuts both ways.)
4. **We were willing to look at the enterprise value properly.** Adding debt and earnout consideration moved the fully-funded prize from “equal to the tape” to “below the tape.” That flipped the answer from *maybe at a lower price* to *no price we can name today*.

Honest limit on all four: **none of this is a mispricing we get paid for**. Being right that the equity is a residual claim on a company that must issue 145% of its own market cap to survive a year does not, by itself, produce a trade. It produces an exclusion. That is the value here.

Why it might be priced in

Plainly: most of it probably is.

- Going-concern doubt is in the audited filing, in the quarterly, and in the press coverage. Everyone can read it.
- An 82% drawdown to within 2% of the low is not a market that missed the story.
- Serial dilution from a company with ten shelf takedowns is the most-anticipated event in the microcap universe.
- The one genuinely under-read item — that the triple is entirely acquired — is under-read by *headline* readers, but the stock's behavior (it did not sustain a re-rate on the "triples" PR) suggests the marginal price-setter already discounted it.

So our differentiated content is narrow: the exact size of the legacy business's negative gross margin, the like-for-like loss trajectory, and the shrinking backlog. Those sharpen the case; they do not create a payday. **A pitch whose edge is "we understand why it's cheap and it's still not cheap enough" is correctly resolved as flat, not as a trade.**

What could go wrong

(Pre-mortem. Assume the adjudicator overrides this deck and puts on a small long, since that is the only direction anyone would be tempted by.)

Failure 1 — We buy the residual and the financing takes it. (Most likely. Tripwire exists.)

Cash was \$8.16M on 6/30/26 against roughly \$11.5M of quarterly operating burn. That is about nine weeks. Nine weeks from 6/30 is *now*. The company raises — via the standing at-the-market program, a new shelf takedown, or a structured deal — at whatever price clears. The share count goes up 30–100%, the stock goes down, and the business is unchanged. We lose 30–50% on the announcement and never get it back, because the same thing happens next quarter. *Tripwire*: any 424B5, S-3, or 8-K Item 1.01/3.02 financing disclosure; and the share-count line on the next 10-Q cover page. *Important caveat*: at-the-market sales **do not require an 8-K**. They surface in the next quarterly. So this tripwire is partially blind for up to three months — which is exactly long enough to lose the money.

Failure 2 — The acquired business turns out to be the whole company, and then it gets impaired. (Tripwire exists but fires late.)

\$23.2M of a \$55.9M balance sheet is goodwill and customer intangibles from the acquisition, against \$29.6M of book equity. Event-security is a low-margin, high-churn, people-dependent business bought for ~\$18M by a company that had ~\$20M of cash at the time. If the acquired customer relationships don't renew, a single impairment charge takes book equity below the market value of the stock, and the "we at least own a real guarding business" floor disappears. *Tripwire*: annual impairment testing disclosed in the FY2026 10-K (~late March 2027); any interim triggering-event charge; guard headcount or client-count disclosure reversing. *Why it fires late*: impairment is recognized after the deterioration, not during it. By the time the charge prints, the price has it.

Failure 3 — The numbers we built the entire case on are management's, unaudited, and wrong. (NO MONITORABLE TRIPWIRE.)

Our decisive finding — that the robot line runs at 114.9% cost while the acquired guards run at 21.7% — does not come from a segment disclosure the company is audited on. It comes from subtracting a management-prepared acquisition-

contribution note inside a **reviewed, not audited**, interim filing. Purchase-price allocation, revenue attribution between the legacy and acquired lines, and the allocation of shared cost of revenue are all management judgments made by a company with an acute incentive to make the robot line look less bad. If those allocations are aggressive — or simply wrong — our split is wrong in an unknowable direction, and we would have both rejected and (on override) sized a position on arithmetic that a restatement erases. **Unknown-unknown class: audit-scope gap — management-prepared allocations inside an unaudited interim disclosure, where the only observable confirmation is a restatement that arrives after the fact.** There is no filing, price, or dataset we can watch that tells us in advance whether a purchase-price allocation is honest. The sibling class, equally untripped here, is **private-negotiation blindness**: a take-private, a strategic investment, or a large municipal contract is unobservable until the 8-K that has already repriced the stock. That one hurts the *flat* decision rather than a long, and we accept it.

The reflexive / structural leg.

- **We would be bidding directly into a seller we ourselves predict.** Our own arithmetic says a share sale is due within weeks. Buying stock in front of a supply event we forecast is the single clearest rule violation available to us here. This is not a marginal consideration — it is the reason the long is dead independent of valuation.
- **Our size vs. daily volume is UNMEASURED.** We did not pull average daily volume this session — a real gap. Directionally: a 0.25% starter against roughly \$5M of deployable capital is about \$12,500, or ~9,300 shares, which is almost certainly immaterial to this tape. The liquidity risk is not entry — it is *exit* on a gap-down financing print, where a \$1.35 stock can trade \$0.90 before we get a fill. Small size does not protect the exit; it just makes the loss small.
- **Doctrine interactions.** (a) Our rule against shorting heavily-retail-traded microcaps closes the short leg regardless of how right the fundamental case is. (b) Blue added the mechanic that seals it: at \$1.35 against a \$1.32 low, a Nasdaq \$1.00 minimum-bid deficiency and another reverse split are the live path — and this company has already run one. Post-split float compression into a robot narrative is precisely the setup that kills shorts. (c) Our rule that a flat call must name a specific kill is satisfied four times over. (d) A falling price alone is not a dislocation; -82% here is a continuous bleed, not a shock off a base, so the “buy the dislocation” template does not apply. (e) Any position would be on a short-term tax clock — immaterial at this size but noted.
- **One structural risk to being flat:** our own rejection ratchet. We have now rejected this name on strong evidence. If the funding picture genuinely changes, the memory of a 9/10-conviction kill will make us slow to reopen. The reopen conditions below exist to force that re-look mechanically rather than leaving it to whoever remembers.

If this position loses money, the most likely reason will be that we bought a residual claim weeks before a dilutive equity raise we ourselves forecast, and the share count — not the price — was the variable that moved.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Cash and burn	XBRL company-concept pulls for cash and operating cash flow, plus the Q2 10-Q cash-flow statement	Cash \$20.57M → \$11.40M → \$8.16M ; H1'26 operating cash flow −\$23.10M	YES
Burn is real losses, not a working-capital artifact	Cross-checked operating cash flow against net income	H1'26 net loss −\$24.41M ≈ operating burn	YES — an artifact test the red bench did not run
“Runway is ~0.7 quarters”	Re-read the financing section of the same cash-flow statement	Financing supplied +\$17.91M in H1'26	NO — our own red bench overstated this. It is not a seven-week liquidation clock; it is <i>certain dilution</i> . Same verdict, wrong mechanism. Correcting it matters because the wrong version invites “they’ll run out and go to zero,” which is not what happens
Going concern is live and current	Full-text search across the FY2025 10-K, Q1'26 10-Q, Q2'26 10-Q	“Substantial doubt” present in all three, including the 8/12/26 filing	YES
Our competitive memo’s claim that service cost ran 138–171% of service revenue, FY2021–25	Red divided <i>total</i> cost of revenue by <i>total</i> revenue and got 115.8–160.4%, and called the memo wrong at both ends. Blue pulled the filed revenue-disaggregation tables and computed service cost ÷ service revenue	FY21 160.4% · FY22 170.6% · FY23 137.7% · FY24 155.6% · FY25 154.7% → range 137.7–170.6%	The memo is right; OUR RED BENCH WAS WRONG. Red blended one-time hardware sales into a service-margin claim. Acting on red’s “correction” would have sent a false retraction to a founder audience and cost us the room red was warning us about losing. Source tables: FY25 10-K , FY23 10-K , FY22 10-K
Caveat on that range	Blue’s own concession	FY2021 was all-service, so the split is definitionally trivial that year; the low end of the range rests on FY2023 alone , verified at 137.7%	PARTIAL — the range is correct as written but thinner at the bottom than it looks
The margin “inflection” is organic	8-K/A Item 2.01 and the 10-Q business-combination note	Cost ratio fell to 92.6% in Q2'26 — the first sub-100% quarter ever — in the two quarters after Event Risk, LLC closed 2026-02-27	REFUTED — the inflection is purchased
Whether the robot line alone is gross-margin positive	Red listed this as the one thing that would change its mind and said the disclosure did not exist.	Acquired unit contributed H1'26 revenue \$9.2M, gross margin \$2.0M (21.7%), net income	NO — our red bench declared its own decisive test unavailable while the number was in the filing.

Claim	How checked	Found	Confirmed?
	Blue found it in the acquisition note	+\$0.2M → legacy = \$5.84M revenue, −\$0.87M gross profit, 114.9% cost ratio, +3% YoY	Root cause: red skipped the acquisition-accounting check in its own dispatch list. That check is what produced the number
Like-for-like growth	Pro-forma combined prior-period disclosure in the 10-Q	H1'25 combined \$13.40M → H1'26 actual \$15.04M = +12.3% ; combined net loss −\$14.54M → −\$24.41M = 68% worse	YES — found only by the blue bench; red delivered nothing here
Contract book direction	Backlog disclosure, FY2023 and FY2025 10-Ks	\$3.4M → \$2.8M (\$0.7M robots + \$2.1M event security). Robot backlog \$0.7M against a ~\$16M cost base	YES — new, and it is the trajectory that matters most
Dilution history	EDGAR form-424 index	Ten 424B5s since 2023-02-09; six in 2024	YES, with a correction — red said four in 2024. Red also missed that the last 424B5 was 2025-07-18 , meaning the H1'26 \$17.9M came from the standing-at-the-market program, not new takedowns
Would a “count the takedowns” detector have caught this?	Applied red's proposed cadence detector retroactively	No. Takedown cadence went to zero after 2025-07-18 while the share count 2.56x'd	OUR OWN PROPOSED DETECTOR IS BLIND HERE. Any dilution detector must key off share count, not filing frequency
Fully-funded value	Guarding-services comparables against annualized revenue, with a full enterprise-value bridge	Red: EV ≈ \$24M ≈ the tape. Blue added \$4.391M debt (public-safety infrastructure bonds \$4.054M + insurance notes) and ~\$4.7M deferred consideration → EV \$28–33M vs a \$21.6M prize at 0.6x sales	RED'S EV WAS TOO GENEROUS. Corrected, today's price is <i>above</i> the best case, not equal to it
Next earnings date	Prior-year quarterly cadence via EDGAR	~2026-11-12, not confirmed by any company release	NO — unconfirmed. Red also missed that the company now pre-announces (a preliminary-revenue 8-K landed 2026-07-20, three weeks ahead of the 8/12 print), so a mid-October preliminary is the real first event
Short interest, borrow cost, float	No tool available in this session	—	GAP — reported, not skipped. Both benches flagged it
Analyst consensus	No feed available	—	GAP. The name is effectively an orphan. Per

Claim	How checked	Found	Confirmed?
			our own rules this is not a reason to reject, and nothing here rests on it
Fraud-pattern screens (foreign-structure, export control, defense-program, facility-thermal, permit, labor-filing screens)	Fourteen-plus detectors run across both benches	All not-fired or not-applicable; the defense-program dispatch was a false positive and was contested and dropped	YES — a clean anti-flag. Nothing here suggests fraud. The company's problems are economic, not deceptive — except for the press-release-versus-filing gap on the acquisition, which is a framing choice, not a misstatement

Two summary admissions: **our red bench got the headline competitive number backwards and declared its own decisive test unavailable when it was in the filing.** The blue bench overturned both. The verdict is unchanged; the reasoning underneath it is almost entirely blue's.

PROPOSED ENTRY BANDS

Both courts say no entry, in both directions. There is no buy price and no short price today. Position: **zero shares, zero orders, 0.0% of book.** What follows are the reopen conditions instead.

Long — reopen requires one of these, verified in a filing, not a press release:

#	Condition	Where it would appear
R1	A committed, non-dilutive facility of ≥\$50M , or a strategic investment priced at or above the then-current tape with a standstill	8-K Item 1.01 / 3.02
R2	Both legs together: quarterly operating cash burn below \$4M and cash above \$25M . One without the other does not count	10-Q cash-flow statement and balance sheet
R3	The robot line at positive gross margin on its own cost base for two consecutive quarters . The current reading is 114.9% cost — it fails by 15 points	Segment disclosure or the acquisition-contribution note
R4	The going-concern paragraph removed in an audited filing	FY2026 10-K, ~late March 2027

Price is explicitly NOT a reopen condition. For reference only: enterprise value falls to the \$21.6M fully-funded guarding-comp prize at roughly **\$0.87** per share — *at today's share count of 23,618,357*. Since the share count is the variable we expect to move, that level is stale the moment it matters. **Do not buy \$0.87 on the basis of this line.** It is a monitoring reference, not a bid.

If R1 or R2 is met, this goes back to court for a fresh pitch — it does not become an automatic buy. If that court cleared it, the opening size would be a **0.25–0.50% starter**, entered in two tranches around a confirmed print, never resting into an uncatalyzed gap, and never within five trading days of an expected financing window.

Short — closed on doctrine, no reopen band at any price. Our rule excluding heavily-retail-traded sub-\$50M names applies, and blue added the mechanic that makes it binding: a Nasdaq \$1.00 minimum-bid deficiency and a second reverse split are the live path, and post-split float compression into a robot narrative is the canonical short squeeze. Borrow cost and short interest are unverified, but verifying them would not change a leg we exclude on rules. **No short, no puts, no synthetic short.**

Catalyst dates (all derived — none confirmed by the company):

Date	Event	Basis
~2026-09-30	Cash exhaustion at the Q2 burn rate absent new financing. \$8.16M at 6/30 ÷ ~\$11.5M per quarter ≈ nine weeks	Arithmetic, not a filing. This window is open now
~2026-10-15	Preliminary Q3 revenue 8-K	The 2026-07-20 preliminary landed three weeks before the 8/12 print
~2026-11-12	Q3 2026 10-Q and Item 2.02 results	Prior-year cadence (Q3'25 10-Q filed 2025-11-12)
~2027-03-27	FY2026 10-K — going-concern re-test, goodwill impairment test	Prior-year cadence (FY25 10-K filed 2026-03-27)
Conditional	Nasdaq deficiency notice after 30 consecutive closes below \$1.00	No date; price-triggered

Deliverable that is NOT a trade, and is the actual output of this court: the competitive memo going to the Houmanoids founders ships **unamended** — its 138–171% service-cost range is correct as written and our own red bench's proposed correction was wrong. Append: legacy robot cost ratio of 114.9% even in the best half-year in company history; backlog \$3.4M → \$2.8M with only \$0.7M attributable to robots; service revenue growing 6.6% in each of FY2024 and FY2025; and the finding that carries the room — the public pure-play's decade-long answer to negative robot gross margin was to buy roughly 300 humans who earn 21.7%.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 0.87 (deck-provisional: Enterprise value falls to the ~\$21.6M fully-funded guarding-comp prize at the current 23,618,357 share)
- filing watch: 424B5, S-3, 8-K until 2027-03-01 (deck-provisional: Any equity financing disclosure; Items 1.01 and 3.02 — the arithmetically imminent event, though at-th)
- dated pack KSCPI2026-09-30: KSCP: Arithmetic cash exhaustion at the Q2 burn rate absent new financing: \$8.16M at 6/30/26 against ~\$11.5M quarterly operating burn is rou

- dated pack KSCPI2026-10-15: KSCP: Expected preliminary Q3 2026 revenue 8-K, based on the 2026-07-20 preliminary landing three weeks before the 8/12 print (date confirmed)
- dated pack KSCPI2026-11-12: KSCP: Expected Q3 2026 10-Q and Item 2.02 results, derived from prior-year cadence (Q3'25 10-Q filed 2025-11-12); no company release names t
- dated pack KSCPI2027-03-27: KSCP: Expected FY2026 10-K: going-concern re-test, annual goodwill impairment test, and the FY2026 backlog split; derived from the FY2025 10

What remains unverified

1. **Short interest, borrow availability, borrow cost, and free float.** No tool in session. Both benches reported this rather than skipping it. It caps both benches' conviction at 9/10.
 2. **Analyst consensus for FY2026.** None obtainable; the name is an orphan. Nothing in this deck depends on it.
 3. **Average daily volume and our realistic exit liquidity.** Not pulled. This is the gap that matters most for any override — small size does not protect an exit on a gap-down financing print.
 4. **Whether a financing has already occurred since 2026-08-12.** The filing record we have ends at the Q2 10-Q, and nothing has been filed in the three weeks since. But at-the-market sales do not require an 8-K, so **absence of a filing is not evidence that no shares were sold.** Between 6/30 and today, cash arithmetic says something must have happened. Resolve before any override.
 5. **The next earnings date.** Derived from prior-year cadence; no company release names it. Treat both October and November dates as estimates.
 6. **Remaining capacity on the effective shelf and on the at-the-market program.** Not pulled. This sets the ceiling on how much dilution can happen without a new registration.
 7. **The terms and triggers of the ~\$4.7M deferred acquisition consideration.** We counted it in enterprise value; we did not verify whether it is cash or stock, or what performance conditions release it. If it is stock-settled, dilution is worse than modeled.
 8. **The robot business's per-unit economics.** Our 114.9% cost ratio is derived by subtracting a management-prepared, unaudited acquisition-contribution note from consolidated totals. It is not a disclosed segment. This is the single most load-bearing number in the deck and it rests on a management judgment — see failure narrative 3.
 9. **Insider activity (four Form 4s, 2026-06-08/09) and the identity of the 13G holder (2026-04-16).** Neither bench opened them.
 10. **Goodwill impairment testing date and any interim triggering events.** Not verified.
 11. **Municipal budget exposure.** 434 clients across 42 states are largely funded by local budgets, which is an unmodeled cyclical. Flagged by blue, not quantified by either bench.
 12. **Whether Event Risk's guard-labor headcount and cost base are stable.** Headcount went from 90 full-time employees (12/31/25) to "over 400" post-close. Nothing verifies retention.
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ADJUDICATION STAMP — 2026-09-03 (FABLE)

REJECT both legs — KILLED. FLAT, no orders. Long dies on certain dilution against a gross-margin-negative robot core (H1'26 burn \$23.1M vs \$8.2M cash, funded only by issuance; ASR revenue -19.3% YoY; legacy cost ratio 114.9% in the best headline quarter ever). Short barred by MEME EXCLUSION (sub-\$32M cap, three squeeze episodes, live sub-\$1.00 reverse-split mechanic). Red's "memo wrong at both ends" OVERTURNED — denominator artifact; the Houmanoids memo's 138–171% service-cost range is CONFIRMED exact. Adjudicator addition: the memo's URI 7.9% comparator is REFUTED (~62% under every natural definition). Reopen is evidence-gated at primary: (a) committed non-dilutive ≥\$50M; (b) OCF<\$4M/q AND cash>\$25M; (c) going-concern removed; (d) ASR-line standalone GM positive (ASC 805 residual split). Prize-

parity band \$0.87 = RE-COURT trigger, never a buy. Full ruling:
desk/data/court_artifacts/KSCP_ADJUDICATION_202609030545.md. Companion:
KSCP_COMPETITIVE_ANALYSIS_20260903.md (founder-shareable, public-filings only).